TANG & PARTNERS LLP
CHARTERED PROFESSIONAL ACCOUNTANTS
LICENSED PUBLIC ACCOUNTANTS

2236262 ONTARIO INC. SPIRIT OF MATH SCHOOLS - VAUGHAN
Financial Statements

Year Ended July 31, 2024

(Unaudited)

TANG & PARTNERS LLP
CHARTERED PROFESSIONAL ACCOUNTANTS
LICENSED PUBLIC ACCOUNTANT

2236262 ONTARIO INC. SPIRIT OF MATH SCHOOLS - VAUGHAN
Index to the Financial Statements
Year Ended July 31, 2024
(Unaudited)

Contents

	Page
Review Engagement Report	3 - 4
Balance Sheet	5
Statement of Retained Earnings	6
Statement of Income	7
Statement of Cash Flows	8
Notes to the Financial Statements	9 - 11

TANG & PARTNERS LLP
CHARTERED PROFESSIONAL ACCOUNTANTS
LICENSED PUBLIC ACCOUNTANT

INDEPENDENT PRACTITIONER'S REVIEW ENGAGEMENT REPORT

To the Directors of 2236262 ONTARIO INC O/A SPIRIT OF MATH (VAUGHAN)

I have reviewed the accompanying financial statements of 2236262 ONTARIO INC O/A SPIRIT OF MATH (VAUGHAN) that comprise the balance sheet as at July 31, 2024, and the statements of income, retained earnings and cash flows for the year then ended, and a summary of significant accounting policies and other explanatory information.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with Canadian accounting standards for private enterprises, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

Practitioner's Responsibility

My responsibility is to express a conclusion on the accompanying financial statements based on my review. I conducted my review in accordance with Canadian generally accepted standards for review engagements, which require me to comply with relevant ethical requirements.

A review of financial statements in accordance with Canadian generally accepted standards for review engagements is a limited assurance engagement. The practitioner performs procedures, primarily consisting of making inquiries of management and others within the entity, as appropriate, and applying analytical procedures, and evaluates the evidence obtained.

The procedures performed in a review are substantially less in extent than, and vary in nature from, those performed in an audit conducted in accordance with Canadian generally accepted auditing standards. Accordingly, I do not express an audit opinion on these financial statements.

Conclusion

Based on my review, nothing has come to my attention that causes me to believe that the financial statements do not present fairly, in all material respects, the financial position of the Company as at July 31, 2024, and the results of its operations and its cash flows for the year then ended in accordance with Canadian accounting standards for private enterprises.

Tang & Partners LLP

Tang & Partners LLP

Thomas Tang, LPA, CPA, CGA
Licensed Public Accountant
Chartered Professional Accountant
(Licensed to practice Public Accounting by the Institute of
Chartered Professional Accountants of Ontario)

October 28, 2024
Toronto, Ontario

TANG & PARTNERS LLP
CHARTERED PROFESSIONAL ACCOUNTANTS
LICENSED PUBLIC ACCOUNTANT

2236262 ONTARIO INC. SPIRIT OF MATH SCHOOLS - VAUGHAN

Balance Sheet as at July 31, 2024
(Unaudited)

ASSETS		**2024**		**2023**
Current				
Cash	$	35,194	$	56,717
Deferred Charges (note 3)		-		23,486
Investments (Short Term) (note 4)		1,786,813		1,244,975
Due from shareholders		-		4,527
Prepaid expenses and other assets (note 3)		34,596		24,375
		1,856,603		1,354,080
Long term				
Property, Plant, and Equipment (note 5)		96,456		125,964
Intangible Assets (note 6)		4,079		5,169
	$	1,957,138	$	1,485,213

LIABILITIES AND SHAREHOLDERS' EQUITY				
Current liabilities				
Deferred Revenue (note 7)	$	130,930	$	162,140
Accounts payable and accrued liabilities		13,175		8,734
Due to shareholders		28,437		-
Royalty Fee Payable		-		23,486
Unrealized Gains/Losses - Investments (note 4)		321,365		16,381
Income taxes		25,216		24,772
		519,123		235,513
Long term liabilities				
		519,123		235,513
Shareholders' equity				
Share capital (note 8)		100		100
Retained earnings		1,437,915		1,249,600
		1,438,015		1,249,700
	$	1,957,138	$	1,485,213

See accompanying notes to the unaudited financial statements

Approved by:

Director: _____

Director: _____

TANG & PARTNERS LLP
CHARTERED PROFESSIONAL ACCOUNTANTS
LICENSED PUBLIC ACCOUNTANT

2236262 ONTARIO INC. SPIRIT OF MATH SCHOOLS - VAUGHAN

Statement of Retained Earnings for the year ended July 31, 2024

(Unaudited)

		2024		2023
Retained earnings, beginning of the year	$	1,249,600	$	1,069,117
Net income		210,388		180,483
Dividends - Capital		(22,073)		-
Retained earnings, end of the year	$	1,437,915	$	1,249,600

TANG & PARTNERS LLP
CHARTERED PROFESSIONAL ACCOUNTANTS
LICENSED PUBLIC ACCOUNTANT

2236262 ONTARIO INC. SPIRIT OF MATH SCHOOLS - VAUGHAN

Statement of Income for the year ended July 31, 2024
(Unaudited)

	2024	2023
Revenue	$ 1,878,225	$ 1,858,196
Net revenue	1,878,225	1,858,196
Cost of sales		
Royalty fee	255,661	298,102
Direct wages	719,727	680,556
Campus rental	125,629	126,340
Materials & supplies	75,375	98,798
Teachers training	19,192	13,722
Subcontracting	3,500	4,427
	1,199,084	1,221,945
Gross Profit	679,141	636,251
Operating Expenses:		
Advertising & promotion	66,656	61,624
Amortization of intangible assets	1,090	1,148
Amortization of tangible assets	39,073	61,756
Bank charges & credit card fees	46,526	45,926
Computer & IT	143,159	112,190
Conferences & seminars	7,387	10,182
Donations	22,297	15,779
Events expense	4,280	10,028
Insurance	2,701	2,277
Meals & entertainment	266	1,647
Memberships, licenses & franchise fees	7,602	7,533
Office & general	33,560	38,847
Professional fees	20,670	34,250
Rental	5,552	5,000
Repairs & maintenance	33,498	30,964
Telephone	11,512	9,004
Travel expense	1,403	483
Vehicle expense	16,160	21,728
	463,392	470,364
Net income before other items and taxes	215,750	165,887
Other income:		
Other income - CEBA	-	20,000
Interest income	941	1,121
Capital Gains	27,961	19,506
Dividends	-	4,664
Other Investment Income	-	1,174
Investment Management Fees	(13,379)	(10,898)
Foreign Investment Income	5,185	4,547
Foreign Taxes	(854)	(746)
	19,854	39,368
Income before income taxes	235,604	205,255
Current income taxes	25,216	24,772
Net income	$ 210,388	$ 180,483

See accompanying notes to the unaudited financial statements

TANG & PARTNERS LLP
CHARTERED PROFESSIONAL ACCOUNTANTS
LICENSED PUBLIC ACCOUNTANT

2236262 ONTARIO INC. SPIRIT OF MATH SCHOOLS - VAUGHAN

Statement of Cash Flows for the year ended July 31, 2024
(Unaudited)

		2024		2023
Cash flows from operating activities				
Net income	$	210,388	$	180,483
Items not affecting cash:				
Amortization of tangible assets		40,163		62,904
Unrealized gains on Investments		-		152,099
Changes in non-cash working capital:				
Deferred Charges				
Prepaid expenses and other assets		(10,221)		(15,192)
Deferred Revenue		(31,210)		(154,774)
Accounts payable and accrued liabilities		4,440		(20,438)
Income taxes		444		(213)
Net cash provided by operating activities		214,004		204,869
Cash flows from investing activities				
Purchase of property, plant and equipment		(9,570)		(24,254)
Net cash used in investing activities		(9,570)		(24,254)
Cash flows from financing activities				
Investments (Short Term)		(236,854)		(270,345)
Long-term loans and advances payable		-		(60,000)
Advances from shareholders		32,964		15,312
Increase in Share Capital		-		95
Dividends paid		(22,073)		-
Net cash used in financing activities		(225,963)		(314,938)
Net decrease in cash and cash equivalents		(21,523)		(134,320)
Cash and cash equivalents at the beginning of the year		56,717		191,037
Cash and cash equivalents at the end of the year	$	35,194	$	56,717
Cash and cash equivalents consists of:				
Cash Balance	$	35,194	$	56,717

2236262 ONTARIO INC. SPIRIT OF MATH SCHOOLS - VAUGHAN

Notes to Financial Statements
Year Ended July 31, 2024
(Unaudited)

1. NATURE OF BUSINESS AND ECONOMIC DEPENDENCY

2236262 Ontario Inc., operating as a Franchise of Spirit of Math Schools - Vaughn is a privately owned company incorporated under the jurisdiction of Ontario. The company's operation consist of math tutoring services. The franchise agreement with Spirit of Math accounts for 100% sales in the current year (2023 - 2024). The current franchise agreement expires in 2027.

2. ACCOUNTING POLICIES

These financial statements were prepared in accordance with Canadian accounting standards for private enterprises and include the following significant accounting policies:

- Financial assets and liabilities are measured initially at fair value, except for certain non-arm's length transactions. Subsequent measurement is at amortized cost, except for investments in equity instruments that are quoted in an active market, which are measured at fair value. Changes in fair value are recognized in net income. Financial assets measured at amortized cost consist of cash and term deposits Financial liabilities measured at amortized cost consist of accounts payable and amounts due to shareholders.

- The preparation of financial statements in conformity with Canadian generally accepted accounting principles requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities . Disclosure of contingent assets and liabilities at the date of the financial statements, and the reported amounts of revenues and expenses during the reporting period is necessary. Material uncertainties include estimates of useful lives of property, plant, and equipment. The resolution of these uncertainties will be determined by future events.

- Property, plant, and equipment are recorded at cost. Amortization is recorded at the following rates, which have been established by estimates of useful lives. Additions during the current year are amortized at one-half their normal rates, and no amortization is taken in the year of

	Rate	Method
Computer hardware	55%	declining balance
Furniture and equipment	20%	declining balance

- Leasehold Improvement are recorded at cost. Amortization is recorded at the straight line method for the term of lease (Lease term has been established to be ten years beginning in 2017). Additions during the current year are amortized at one-half their normal rates, and no amortization is taken in the year of disposition.

- Tuition revenue is recognized on a time basis when there is persuasive evidence that an arrangement exist - classes have been offered, the price is set or determinable, and collection is reasonably assured.

- The company has adopted the taxes payable method of accounting for income taxes.

3. Prepaid Expenses & Deferred Charges

	2024	2023
Prepaid expense (Rent)	$ 9,308	$ 9,308
Prepaid franchise fee (2024-2025)	7,534	15,067
Prepaid Royalty fee	17,754	-
	$ 34,596	$ 24,375
Deferred Charges	$ -	$ 23,486

Deferred charges represents estimate on Royalty fees on Deferred Revenue. A corresponding liability for same is disclosed in current liability. When amount is paid in subsequent period this amount will be moved to the subsequent period P&L.

4. Investments

	2024	2023
Investments (Short Term)	$ 1,786,813	$ 1,244,975
Unrealized Gains/(Losses)	$ 321,365	$ 16,381

Investments is classified as available for sale and valued at fair value (Market Value).
Unrealized Gains/(Losses) is recognized on the balance sheet. There is no impact on the income tax.

Any income derived from the portfolio in reinvested in the portfolio.

Investments is managed by IG Wealth Management. The current portfolio consists of 99% Equity and the other is 1% Cash. This investment is non registered.

2236262 ONTARIO INC. SPIRIT OF MATH SCHOOLS - VAUGHAN

Notes to Financial Statements
Year Ended July 31, 2024
(Unaudited)

5. Property, Plant & Equipment

	Cost	Accumulated Amortization	2024 Net Book Value	2023 Net Book Value
Computer equipment	$ 62,484	$ 51,270	$ 11,214	$ 11,470
Furniture & fixtures	38,000	26,349	11,651	9,483
Leasehold improvements	337,826	264,235	73,591	105,011
	$ 438,310	$ 341,854	$ 96,456	$ 125,964

6. Intangible Assets

	2024	2023
Franchise fee	$ 45,565	$ 45,565
	45,565	45,565
Accumulated amortization	(41,486)	(40,396)
Net Deferred charges, intangibles, and other	$ 4,079	$ 5,169

7. Deferred Revenue

	2024	2023
Deferred Revenue	$ 130,930	$ 162,140
	$ 130,930	$ 162,140

Deferred Revenue is a prepayment of tution fees for the subsequent academic year.

8. Share Capital

Authorized:		2024	2023
Unlimited	Class A Common voting shares		
Unlimited	Class B Common non-voting shares		
Unlimited	Class C Common non-voting shares		
Unlimited	Class A Preferred non-voting shares		
Unlimited	Class B Preferred non-voting shares		
Unlimited	Class C Preferred non-voting shares		
Issued:			
100	Class A common shares	100	100
		$ 100	$ 100